The shareholders were to elect delegates for the purpose of electing Directors. There were to be twenty-four delegates each for the Bombay, Calcutta, and Delhi registers, and ten each for the Madras and Rangoon registers. The election was to be held once in every five years, and a candidate for the delegacy was to be nominated by not less than twenty shareholders. No shareholder whatever his holdings, was to be entitled to more than one vote. Finally, as regards the qualifications of a Director, no person was to be a Director who was not or had not at some time been actively engaged in agriculture, commerce, finance, or industry or was not a Director of a corporation or company registered in British India. Government officials, servants of any bank, or Directors of any bank other than Co-operative Societies, were ineligible for Directorship. It was also provided that no person could combine Directorship of the RBI with membership of the Indian Legislature or of a Local Legislature.

The Bill was put on the agenda of business before the Assembly on February 1, 1928, but it could not be introduced owing to constitutional difficulties. A point of order was raised by M.S. Aney on whether it was in order to introduce a new Bill when a Bill on the same subject was pending before the House, and if it was proper in calling upon the House to reopen such points as had been decided earlier. It was also pointed out that members who desired to dispense with further progress of Bills introduced by them and deal with them afresh could do so only after withdrawing the earlier Bills or allowing them to lapse.[27]

In due deference to the point of order, in February 1928, the government decided to proceed with the consideration of the old Bill from the point reached in the August–September 1927 session. Sir Basil was successful in getting approval for some amendments introduced by him in clause 8 of the Bill, the more important of these being providing for two Deputy Governors and omitting the statutory requirement that either the Governor or the Deputy Governor should be an Indian, and deletion of the sub-clause providing for election of three Directors by the Central Legislature.[28]

Another amendment providing for deletion of sub-clause (I) (f) of clause 8, empowering Provincial Legislatures to elect three Directors was proposed by Sir Victor Sassoon and adopted. However, when the motion that ‘clauses 8, as amended, do stand part of the Bill’ was put to the House for vote, it was rejected by 50 votes to 49. The government construed this